

2. This applies to bonds as well as stocks. See Blake, Elton, and Gruber (1993).
3. According to Gennaioli, Shleifer, and Vishny (2012), investors pay excessive fees to active managers who underperform because trust in outside managers reduces investors' perception of investment risk.
4. For more on experts versus algorithms, see Tetlock (2005).
5. For other examples of quantitative models dominating over experts, see "Global Equity Strategy: Painting by Numbers—An Ode to Quant" by James Montier.
<http://www.thehedgefundjournal.com/node/7378>.
6. From his 2010 MIT speech, "Mathematics, Common Sense, and Good Luck: My Life and Career,"
<http://video.mit.edu/watch/mathematics-common-sense-and-good-luck-my-life-and-careers-9644/>.
7. See <http://www.traderslog.com/richard-driehaus-profile/>.
8. Adapted from the traditional song "The Great Rock Island Route" by J. A. Roff (1882).

APPENDIX B

1. There are no transaction costs deducted for monthly rebalancing of the momentum or any benchmark portfolios.
2. Cowles and Jones (1937) were the first to point out the profitable look-back period of 12 months using U.S. stock market data from 1920 through 1935. Moskowitz et al. (2012) also found a 12-month look-back period best when applying absolute momentum to 58 liquid futures markets from 1969 through 2009.
3. For the 10 years ending December 2012, the monthly correlation of the absolute momentum 60/40 portfolio to the S&P 500 Index was 0.53, compared to a correlation of 0.87 for the normal 60/40 portfolio to the S&P 500 Index.
4. Data is from the Robert Shiller website:
<http://www.econ.yale.edu/~shiller/data.htm>.